Investment Screening Memo: Perplexity

https://www.perplexity.ai · as of 2026-11-04

AI answer engine and agent platform (search, Comet browser, Computer agent, Sonar API) that is moving from consumer search toward paid agentic workflows and OEM distribution.

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1. Company Snapshot

What they do	Perplexity runs an AI 'answer engine' that returns cited answers. Its Comet browser has a built-in shopping and browsing agent, and Perplexity Computer, launched Feb 25, 2026, is a multi-model autonomous agent platform. [7] [13] [17]
Business model	Revenue comes from freemium subscriptions (Pro about $20/mo, Max about $200/mo), Enterprise seats (about $40/seat Enterprise Pro), and usage-based Sonar API fees. Premium tiers moved to usage-based credits in Feb 2026, when the company also said it was dropping ads to focus on subscriptions and enterprise sales. [10] [11] [12] [13]
Customers	Mostly consumers (company-cited 780M monthly queries in May 2025; reported 100M+ monthly users in April 2026), plus enterprises and developers. Samsung integrates Perplexity at the system level on the Galaxy S26, where its APIs also power Bixby web queries. [8] [9] [14] [15]
Stage	Late-stage private and venture-backed. The FT reported ARR above $450M in March 2026, up about 50% in a month, and the CEO cited $500M revenue in April 2026. The company targets $656M ARR by the end of 2026 (none of these figures is audited). [1] [2]
Funding	Raised $200M at a $20B valuation in Sept 2025, with about $1.5B raised in total by then. An aggregator lists a Series E-6 in Jan 2026 at about $20.4B. In Aug 2026, The Information reported that Nvidia had discussed investing at a valuation above $30B (not confirmed closed). [3] [4] [5] [16]
Location	Headquartered in San Francisco and founded in 2022 by Aravind Srinivas (CEO), Denis Yarats, Johnny Ho and Andy Konwinski. [6] [7]

2. Market and Competition

- Google still holds about 90% of worldwide search (StatCounter, Apr 2026), so AI answer engines mostly compete for incremental and high-intent queries rather than displacing search at scale yet. [18]
- ChatGPT dominates AI assistant traffic, though its share fell from about 87% to about 65-68% between Jan 2025 and Jan 2026 (Similarweb). Gemini overtook Perplexity as the #2 AI referral source in Mar 2026 (8.65% vs 7.07%). [18] [19]
- Perplexity's share of AI chatbot referral traffic was reported at 5.85% in Sept 2026. Semrush estimated about 124.9M visits to perplexity.ai in Aug 2026, down about 10% month over month, which suggests consumer web traffic is plateauing. [20]
- Monetization is moving toward agents and usage-based pricing: Perplexity attributes its 2026 revenue jump to Computer and credit-based premium tiers rather than search ads. [1] [13]
- **Google (Search AI Mode / Gemini):** Incumbent with about 90% search share and the fastest-growing AI assistant. Gemini passed Perplexity in AI referrals in Mar 2026 and is also bundled on Samsung devices. [18] [19] [9]
- **OpenAI (ChatGPT search):** Largest AI assistant by traffic (about 65-68% share in Jan 2026); competes directly on answers, agents and the browser. [18]
- **Anthropic (Claude):** Strong in B2B and enterprise research use cases and a frontier model supplier. Perplexity depends on third-party models like Claude, so it competes with its own suppliers. *(unverified)*
- **Microsoft (Copilot / Bing):** Bing holds about 5% of global search; Copilot is distributed through Windows, Edge and M365, which gives it enterprise reach Perplexity lacks. [18]

3. Investment Thesis

- Revenue is growing fast and the mix is shifting to agents: ARR reportedly rose from about $305M to more than $450M in a month after the Computer launch and usage-based pricing (Feb-Mar 2026). [1] [17]
- OEM distribution is a moat-building lever: Perplexity is built into the Galaxy S26 at the system level ('Hey Plex' hotword) and its APIs power Bixby across a targeted 800M devices in 2026. [8] [9]
- A subscription and enterprise model without ads positions Perplexity on trust and accuracy, setting it apart from ad-funded Google and avoiding conflicts in agentic commerce. [11] [12]
- Perplexity is a strategically scarce asset: Apple held internal talks about acquiring it (Jun 2025) and Nvidia reportedly discussed investing at a valuation above $30B (Aug 2026), which supports a floor on exit value. [3] [22]

4. Risks and Red Flags

- Perplexity faces several copyright suits: Dow Jones/NY Post (filed Oct 2024; motion to dismiss reportedly denied), the New York Times (S.D.N.Y., Dec 2025, which also alleges false attribution) and CNN (reported May 2026). Damages or injunctions could hit its core product. [20] [21] [23] [24]

- Data-access risk: Reddit sued in Oct 2025, alleging that Perplexity bought Reddit content scraped from Google results, and Amazon won a Mar 2026 preliminary injunction against the Comet agent. The Ninth Circuit vacated that injunction in Aug 2026, but the case is unresolved. [25] [26] [27]
- Perplexity has no proprietary distribution of scale and competes with its model suppliers. Gemini passed it in AI referrals, and web visits reportedly fell about 10% month over month in Aug 2026. [19] [20]
- Revenue quality is unclear. The headline figures come from the FT and the CEO rather than audited disclosures, usage-based credits can be volatile, and inference costs and gross margin are not public. [1] [2]
- Its strategy has been erratic: an unsolicited $34.5B bid for Google's Chrome (Aug 2025) that investors said they had not discussed, and a reversal on ads after pioneering sponsored answers in 2024. [12] [28]

5. Potential Acquirers and Strategic Investors

- **Apple:** Lacks an in-house AI search answer for Siri and Safari, and its executives reportedly held internal talks about buying Perplexity in Jun 2025. [22]
- **Samsung:** Already the deepest OEM partner (Galaxy S26, Bixby); owning it would secure an independent AI layer that is not Google. [8] [9]
- **Nvidia:** Reportedly discussed investing at a valuation above $30B (Aug 2026); more likely a strategic investor than an acquirer. [3]
- **Microsoft:** Would strengthen Bing and Copilot consumer search against Google and OpenAI; analytical, with no reported talks.
- **Meta:** Needs a search and answer product for Meta AI across its apps; analytical, and valuation and antitrust scrutiny make a deal hard.

6. Open Questions for Management

1. What is current ARR split by consumer subscriptions, enterprise, API and Samsung/OEM, and how much of it is usage-based Computer credits versus recurring seats?
2. What are gross margin and inference cost per query or agent task, and how dependent are you on OpenAI, Anthropic and Google models?
3. What are the economics of the Samsung deal (revenue share, minimum guarantees, exclusivity, term), and are other OEM deals in progress?
4. What is the expected exposure in the NYT, Dow Jones, CNN and Reddit cases, and what does the publisher licensing program cost each year?
5. After the Ninth Circuit ruling, what is the legal and commercial plan for agentic commerce on sites that block agents (Amazon and others)?
6. Monthly active users, retention and paid conversion trends: why did web visits decline in Aug 2026, and how much usage has moved to apps, Comet and Samsung?
7. What are the terms and status of the reported Nvidia round above $30B, and what are cash burn and runway?
8. Enterprise go-to-market: how many paying enterprise logos and seats are there, and what is net revenue retention since the sales team was expanded?

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